

Fidelity

Virtual Experience Program

Task 3 – Model Answer

SWOT Analysis: Tesla

Strengths	Weaknesses
▪ Market leader in electric vehicles & associated tech ▪ Proprietary EV technology and hardware ▪ Strong and recognisable premium brand ▪ Cross-selling capability across product lines	▪ Inadequate manufacturing capacity to meet demand ▪ Supply chain complications due to high tech ▪ Reliance on key inputs for their products ▪ Key man risk (Elon Musk)
Opportunities	Threats
▪ Global market expansion for its products ▪ Expand higher-margin services revenue stream ▪ Target both mid-market and premium price points ▪ Opportunity to insource key inputs (e.g. batteries)	▪ Increasing competition ▪ Shortage of key inputs / materials ▪ Product liability and defect claims (due to high tech) ▪ Regulatory risks around self-driving cars

Summary of Findings: Tesla

Investment Thesis	✓ Highly differentiated business model underpins market leadership ✓ Tech advantage driven by best-in-class proprietary software and hardware ✓ Cost advantage across electric vehicles and associated tech ✓ Poised for growth via product launches, global expansion & new revenue streams	A sam con
Key Risks	× Inadequate current manufacturing capacity to meet surging demand × Chip supply shortages caused by geopolitical events × Supply chain instability due to leading-edge tech × Key man risk related to founder Elon Musk	A sa inv n
Areas of Due Diligence	▪ Ability to increase manufacturing capacity and insource key inputs ▪ Opportunity to grow into different markets, geographies and price points ▪ Threat assessment of increasing competition from incumbents or new tech ▪ Projected financial impact of negative geopolitical tensions	Area to s com